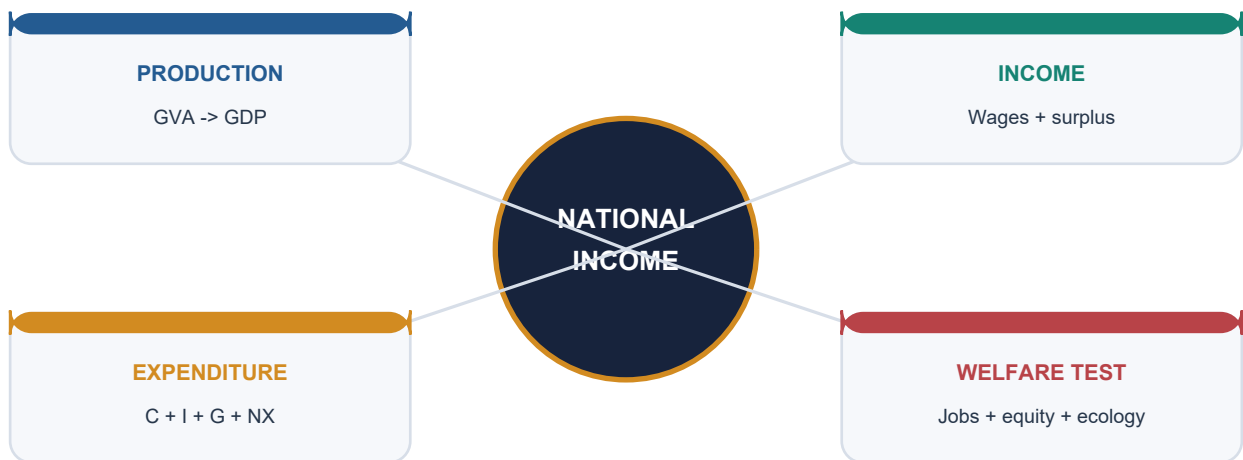


Rights and Liabilities of the Government - CORE / EXAM-COMPLETE

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Rights and Liabilities of the Government - CORE / EXAM-COMPLETE

Subject: Polity · **Tier:** Core · **GS Paper:** GS-II **Official clause:** "Functions and responsibilities of the Union and the States" and "Structure, organization and functioning of the Executive." **Grounded in:** Constitution of India, Part XII, Arts 294-300; M. Laxmikanth, *Courseware on Indian Polity*, Eighth Edition (2026), Ch. 76. **Status legend:** FACT: constitutional/textual fact · □ statute/rule · □□ judicial holding · □ non-binding recommendation · **ANALYSIS:** analytical inference. **Rule:** This Core owner is independently sufficient for Prelims and 10/15/20-mark Mains. No Advanced companion is required.

1. Core proposition

Articles **294-300** treat the Union and the States as legal actors capable of holding property, making contracts and suing or being sued. The controlling tension is:

PUBLIC POWER

- + continuity of the State
 - + capacity to own, trade and contract
 - personal liability of constitutional heads
 - residual sovereign-immunity doctrine
- =

GOVERNMENT UNDER LAW

Master distinction: Governmental legal personality does not mean every public official is personally liable, and official immunity does not mean the governmental action is beyond review.

2. Article map

Article	Constitutional subject	Examination distinction
294	Succession to Dominion/provincial property, assets, rights, liabilities and obligations	Constitutional continuity at commencement
295	Succession concerning former Indian States	Union/State succession follows the purpose and constitutional field, subject to agreement
296	Escheat, lapse and <i>bona vacantia</i>	Ownerless property normally vests in the State where situated; otherwise Union, subject to the use/control proviso
297	Maritime lands, minerals and resources	Territorial-water/continental-shelf/EEZ value and resources vest in the Union
298	Trade, business, property and contracts	Union and State executive power extends to these activities, subject to legislative competence controls
299	Government contracts	Mandatory constitutional form and personal-immunity rule
300	Suits and proceedings	Union of India and the State are the proper juristic names; liability retains the pre-Constitution baseline subject to legislation

Trap: Article **300A** is the right-to-property provision. It is adjacent to, but not part of, the Arts 294-300 government-liability sequence.

3. Property, succession and ownerless assets

3.1 Succession: Articles 294-295

FACT: At commencement, governmental property, rights, liabilities and obligations did not disappear; they passed to the Union or the corresponding State. Article 294 addresses the Dominion and Governor's Provinces; Article 295 addresses the former Indian States and uses the governmental purpose/Union-List connection.

ANALYSIS: These are primarily **transitional continuity provisions**, but they establish the enduring idea that the State is a juristic successor rather than a set of personally liable office-holders.

3.2 Escheat, lapse and bona vacantia: Article 296

Term	Safe meaning
Escheat	Property returning to the State for want of a lawful heir
Lapse	Accrual to the State when a legally recognised right/title fails or terminates
Bona vacantia	Ownerless property

FACT: Location is the general rule: property situated in a State vests in that State; other cases vest in the Union. The proviso can shift vesting according to the Union/State purpose for which the property was already possessed or controlled.

3.3 Maritime resources: Article 297

FACT: Lands, minerals and things of value underlying the ocean within India's territorial waters, continental shelf and exclusive economic zone, and other EEZ resources, vest in the Union. ☐ Maritime-zone limits are specified under parliamentary law; do not convert a statutory distance into the wording of Article 297.

3.4 Trade and property: Article 298

FACT: Union and State executive power extends to trade/business, acquiring, holding and disposing of property, and making contracts. The provisos preserve the relevant legislature's competence where the executive activity falls outside the ordinary legislative field of that government.

Trap: Article 298 grants executive capacity; it does not exempt a public enterprise or contract from ordinary law, Fundamental Rights, competition rules or legislative control.

4. Government contracts: Article 299

4.1 Three constitutional formalities

A contract made in exercise of Union/State executive power must:

1. be **expressed** to be made by the President or Governor;
2. be **executed on behalf of** the President or Governor; and
3. be executed by a person, and in a manner, **directed or authorised** for that purpose.

☐ ☐ The settled constitutional position treats these safeguards as mandatory for an enforceable Article 299 government contract. They protect public funds by ensuring authority, authentication and an auditable form.

4.2 Personal liability

FACT: The President/Governor is not personally liable for the contract or assurance. The authorised person executing it on their behalf is also not personally liable **in respect of that valid official execution**.

Trap: Personal immunity of the constitutional head does **not** immunise the Union or State from contractual liability.

4.3 Invalid formal contract versus restitution

ANALYSIS: Failure of Article 299 form can make the purported contract unenforceable as a government contract. That does not automatically permit the State to retain a non-gratuitous benefit without payment; an independent restitutionary claim may arise under ordinary law if its conditions are proved. Keep the **contract claim** and the **restitution claim** analytically separate.

5. Suits and tort liability: Article 300

5.1 Proper party

- FACT: Union Government sues or is sued as the **Union of India**.
- FACT: A State Government sues or is sued by the **name of the State**.
- FACT: Article 300 preserves the pre-Constitution liability baseline, subject to any competent parliamentary/State legislation.

5.2 Sovereign-immunity trajectory

Stage	Case/proposition	Correct use
Colonial distinction	☐ <i>P & O Steam Navigation</i>	State liable for non-sovereign/commercial functions; immunity associated with sovereign functions
Restrictive reaffirmation	☐ <i>Kasturi Lal</i>	Police custody/property-loss claim reflected the older sovereign-function immunity
Narrowing	☐ <i>N. Nagendra Rao & Co. (1994)</i>	Welfare-State functions make broad immunity untenable; immunity survives, if at all, only in narrow inalienable fields
Further erosion	☐ <i>Common Cause (1999)</i> ; <i>State of A.P. v. Challa Ramkrishna Reddy (2000)</i>	Broad sovereign immunity is incompatible with rule-of-law accountability
Public-law compensation	☐ <i>Nilabati Behera (1993)</i>	Compensation for a Fundamental-Right violation is a constitutional/public-law remedy, distinct from a private tort suit

ANALYSIS: The safest Mains position is not "sovereign immunity has completely vanished" and not "the State is immune for sovereign acts." State that the old distinction has been **strongly narrowed and criticised**, while public-law constitutional compensation and private-law tort liability remain distinct remedial routes.

6. Public-official protection: do not mix the sources

Actor	Protection/source	Limit
President/Governor	FACT: Art 361 : not answerable to court for official powers; no criminal proceeding or arrest during term; personal civil proceeding requires two months' prior notice	Validity of governmental action remains reviewable; appropriate proceedings may lie against Union/State
Minister	No blanket personal constitutional immunity for unlawful personal acts	Advice to President/Governor is protected from judicial inquiry under FACT: Art 74(2)/163(3), but the resulting governmental action can be reviewed
Judicial officer	☐ Statutory protection for acts done judicially/in discharge of judicial duty	Not a licence for corruption or conduct wholly outside judicial duty
Civil servant	Article 299 protects an authorised official signatory from personal contract liability; procedural statutes may require notice/sanction for specified official acts	No general immunity for personal illegality, mala fide action or acts outside official duty

Source firewall: Article 361 immunity, Article 299 contract protection, civil-procedure notice, criminal-procedure sanction and judicial-officer protection arise from **different provisions**. Never present them as one constitutional immunity.

7. Accountability logic

Why formalities exist

- Article 299 prevents informal officers from binding the public exchequer.
- Article 300 gives citizens a named defendant and preserves legal continuity.
- Judicial narrowing of immunity aligns a welfare State with equality and rule of law.
- Public-law compensation supplies a remedy where State misconduct violates Fundamental Rights.

Continuing weakness

ANALYSIS: India still lacks a single comprehensive constitutional code of State tort liability. The result is a case-law-heavy distinction between contractual liability, private tort, constitutional tort and official protection.

8. Answer architecture (10/15/20-mark support)

8.1 Demand map

Demand	Answer spine
Articles 294-300 overview	Succession/property -> trade/contracts -> suits/liability -> rule-of-law verdict
Government contracts	Art 298 capacity -> Art 299 formalities -> personal immunity -> restitution caution
Sovereign immunity	Art 300 baseline -> case trajectory -> constitutional tort -> qualified verdict
Public-official immunity	Actor-by-actor source map -> distinction between personal protection and reviewability
Government as juristic person	Proper party -> continuity -> legal accountability -> institutional significance

8.2 Thesis options

- *Articles 298-300 convert the executive from a sovereign ruler into a legal actor: it may trade and contract, but only through authorised form and with liability before courts.*
- *The sovereign-immunity doctrine has moved from a broad colonial exception toward narrow, rights-sensitive accountability, though private tort and constitutional compensation remain distinct.*
- *Official immunity protects the office from personal litigation; it does not place governmental action beyond judicial review.*

8.3 Mark-scaled structures

Marks	Structure	Evidence
10	Direct thesis -> Articles 299/300 -> one case distinction -> verdict	3 anchors
15	Property/contract/suit map -> immunity trajectory -> public-official distinction -> verdict	5-6 anchors
20	Arts 294-300 sequence -> contract form -> tort and constitutional remedies -> official protection -> reform/graded verdict	7-8 anchors

8.4 Evidence units

- **Claim:** government contract power is constitutionally formalised. **Evidence:** FACT: Arts 298 and 299. **Analysis:** capacity is broad but authority and execution are controlled. **Qualification:** an invalid formal contract and restitution are different claims.
- **Claim:** State liability has expanded with the welfare State. **Evidence:** ☐☐ *Kasturi Lal to N. Nagendra Rao* and *Common Cause*. **Analysis:** more governmental activity makes a broad sovereign/non-sovereign firewall unworkable. **Qualification:** do not assert total abolition without a governing statute or case for the precise facts.
- **Claim:** constitutional tort is distinct. **Evidence:** ☐☐ *Nilabati Behera*. **Analysis:** public compensation vindicates Fundamental Rights rather than merely compensating a private wrong. **Qualification:** it does not replace every ordinary civil remedy.

9. Must-Know Facts

- FACT: Arts **294-300** are in Part XII.
- FACT: Art 296 deals with escheat, lapse and *bona vacantia*.
- FACT: Art 297 vests specified maritime value/resources in the Union.
- FACT: Art 298 grants executive capacity to trade, hold property and contract.
- FACT: Art 299 imposes three mandatory contract formalities.
- FACT: Art 300 names the Union of India/State as the suable juristic party.
- FACT: Art 361 concerns President/Governor immunity; it is not the source of State tort immunity.
- ☐☐ Public-law compensation for rights violations is distinct from private-law damages.

10. UPSC traps and source discipline

- Do not cite Article 300A for government contracts or suits.
- Do not say the President/Governor personally enters executive contracts.
- Do not treat an officer's signature as enough without Article 299 authority and form.
- Do not state "government can never be sued for sovereign functions" as settled modern law.
- Do not state that official immunity prevents review of the governmental action.
- Do not use a repealed procedural-code section from memory; verify the current statute before

citing notice or sanction provisions.

- Write separately: FACT: constitutional text · □ statute/rule · □□ holding · □ proposal ·

ANALYSIS: inference.

Cross-links

- Right to property: Fundamental-Rights.md
- Executive power: President-and-Vice-President.md, Governor-and-CM.md
- Federal allocation: Centre-State-Relations.md
- Judicial remedies: Supreme-Court.md, High-Court.md